CONFLICTS OF INTEREST

Learning Outcomes

- evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct
- explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct

Avoid or Disclose Conflicts

Members and Candidates must avoid or make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients, prospective clients, and employer. Members and Candidates must ensure that such disclosures are prominent, are delivered in plain language, and communicate the relevant information effectively.

Reebh

Reebh, CFA, is the CEO and founding partner of Lux Asset Management (Lux). Reebh provides asset management and allocation services for high-net-worth individuals and several small institutional clients. His services include investing client funds with third-party subadvisers who have a specialty in a particular asset class. Reebh's clients are aware and approve of Lux's allocation of their assets to subadvisers. The third-party subadvisers make payments to Lux based on the total value of a client's assets placed or invested in the subadvisers' funds.

Reebh's actions are

A. appropriate because Reebh has disclosed the use of subadvisers.
B. inappropriate because the payments are an improper referral fee.
C. inappropriate unless Reebh discloses the financial arrangement he has with the subadvisers to his clients.

Analysis

C is correct. Standard VI(A) Avoid or Disclose Conflicts requires CFA Institute members and candidates to "avoid or make full and fair disclosure of all matters that could reasonably be expected to impair their independence and objectivity or interfere with respective duties to their clients." The payments subadvisers make to Lux based on the value of the client assets Lux places with the subadvisers creates a potential conflict of interest because Reebh is thereby incentivized to hire subadvisers who pay the fee but who might not necessarily be the best subadvisers for his clients. Reebh can avoid this conflict by not agreeing to this compensation structure. If Reebh continues to accept payment in this manner, Reebh must disclose the financial arrangement to clients.

A is incorrect. Reebh has disclosed Lux's use of subadvisers, but he has not disclosed the financial arrangement for Lux to use those subadvisers.

B is incorrect. Although referral arrangements might be acceptable with full disclosure to clients, Reebh is not referring clients to the subadvisers but is hiring them directly on his clients' behalf.

Priority of Transactions

Investment transactions for clients and employers must have priority over investment transactions in which a Member or Candidate is the beneficial owner.

adviser. While employed with Dacco, Yang establishes Prestige Trade Investments Limited (Prestige) and acts as investment adviser for the firm's clients. Yang is responsible for formulating Prestige's investment strategy and directs all trades on behalf of Prestige. Over several days, Yang purchases 50,000 shares of Zhongpin stock and 1,978 Zhongpin call options for his personal account at Dacco. Shortly after, Yang uses $29.8 million of Prestige's funds to purchase more than 3 million shares of Zhongpin stock.

Yang's actions are

A. a violation of the CFA Institute Code and Standards.
B. acceptable because Yang's personal investments are not in conflict with the investment advice being given to his clients at Prestige.
C. acceptable as long as Prestige clients are not negatively affected by Yang's prior purchase of Zhongpin securities through his account at Dacco.

Analysis

A is correct. Standard VI(B) Priority of Transactions states that "investment transactions for clients . . . must have priority over investment transactions in which a [CFA Institute] Member or Candidate is the beneficial owner." Yang is "front-running" his Prestige clients' trades. Front-running involves trading for one's personal account before trading for client accounts. Yang purchases Zhongpin stock and call options in his personal account at Dacco before directing the Zhongpin trades for clients at Prestige. The $29.8 million of Prestige funds invested in Zhongpin stock could have a material upward effect on the price of the stock and options Yang holds. Even the perception that Yang could profit by using Prestige's funds will diminish investors' trust in Yang and the capital markets.

B is incorrect. Yang's personal investments are tracking with his client investments, so no conflict exists between his personal trading and the investment actions/advice for clients. However, the timing of the trades is the issue in this case because Yang is "front-running" his clients' trades.

C is incorrect. The fact that Prestige clients are not harmed by Yang's earlier trades for his personal accounts does not make his actions acceptable.

Kapadia

Kapadia, CFA, is a trader for an asset management company that manages several large global mutual funds. Kapadia executes the equity buy-and-sell orders for the portfolio managers of one of the company's mutual funds. He has the discretion to execute the orders at any time during the day, depending on market conditions. Before executing the orders, Kapadia contacts several close friends and relatives to give them information on which securities the mutual fund will be trading. In turn, these friends and relatives make trades that mirror the imminent trades to be executed by Kapadia on behalf of the mutual fund.

Kapadia's actions are

A. a violation of the CFA Institute Code and Standards.
B. inappropriate only if the client is harmed financially by the conduct.
C. appropriate because he does not share confidential information about individual clients.

Analysis

A is correct. Standard VI(B) Priority of Transactions states that "investment transactions for clients must have priority over investment transactions" for a member or candidate's personal benefit. Kapadia is facilitating front-running by his friends and relatives on the trades of his employer's mutual fund. Front-running is the unethical and often illegal practice of trading on advance information for one's personal account before trading for client accounts to gain an economic advantage. Although Kapadia might not directly

B is incorrect. Kapadia's engagement in the practice of front-running, which involves trading in personal accounts before trading for client accounts, is unethical and inappropriate even if the trades of Kapadia's friends and relatives do not disadvantage the mutual fund by moving the price of the security or causing the fund to lose the price advantage or any profit from its own trades.

C is incorrect. Although Kapadia does not share the confidential information of individual clients or individual investors in the fund, he does share confidential information about the fund itself.

Perrkins

Perrkins, CFA, is the chief investment officer of GT Financial (GTF). Perrkins's wife is GTF's compliance officer. GTF has several dozen retail clients and total assets under management of $70 million. All client assets are managed on a discretionary basis. Perrkins frequently makes trades for his clients using an omnibus trading account through a broker/dealer, which allows Perrkins to buy and sell securities in a block trade on behalf of multiple clients simultaneously. Perrkins regularly allocates the securities purchases to individual client accounts after the market closes. Over one six-month period, Perrkins allocates 75% of the profitable trades to nine accounts that Perrkins and his wife own or control. At the same time, he allocates 82% of the unprofitable trades to the account of the three largest GTF clients.

Perrkins's actions are

A. a violation of the CFA Institute Code and Standards.
B. acceptable as long as he discloses the trade allocation practices to his clients.
C. acceptable as long as he reverses his trade allocation practices to favor the larger clients so that they are not harmed over the long term.

Analysis

A is correct. Standard VI(B) Priority of Transactions states that investment transactions for clients have priority over personal transactions. By trading in the firm's omnibus account and then delaying the allocation of trades to a specific account until he has an opportunity to observe the security's intraday performance, Perrkins can pick the winning trades for accounts in which he has a beneficial interest. This practice is a violation of Standard VI(B). He then allocates the losing trades to clients' accounts that are large enough to absorb incremental trading losses without arousing suspicion that the losses are due to fraud. Perrkins's actions are also likely a violation of Standard III(B) Fair Dealing, which states that members and candidates "must deal fairly and objectively with all clients when . . . taking investment action or engaging in other professional activities."

B is incorrect. Disclosure to his clients as to how he is allocating the trades does not make Perrkins's unethical, fraudulent behavior acceptable.

C is incorrect. Perrkins cannot temporarily favor his personal interests over his clients' interests with the intent of rectifying the situation for his clients in the future. Ethical conduct is not subject to a ledger-keeping exercise. CFA Institute members and candidates must comply with the ethical principles and requirements of the Code and Standards at all times.

Referral Fees

> Members and Candidates must disclose to their employer, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit received from or paid to others for the recommendation of products or services.

Kiang

Kiang, CFA, is a successful investment adviser with several high-net-worth clients who are very happy with his services. Many of Kiang's clients recommend his advisory services to

clients to his advisory firm. At the party, Kiang distributes nominal gift cards to attendees. In some cases, Kiang offers discounts on advisory fees to clients who sent him referrals that proved particularly lucrative. Many of the clients attending these celebrations were referred to Kiang by other clients, and they, in turn, continue the cycle of recommending Kiang to a wider circle of friends and family.

Kiang's actions most likely are

A. acceptable as a reward for client loyalty.
B. acceptable because he treats all clients fairly.
C. a violation of the CFA Institute Code and Standards.

Analysis

C is correct. Standard VI(C) Referral Fees states that members and candidates "must disclose to their employer, clients, and prospective clients, as appropriate, any compensation, consideration, or benefit . . . paid to others for the recommendation of . . . services." In this case, Kiang hosts an elaborate party, distributes gift cards, and, in some cases, offers discounted advisory fees to clients who have referred particularly lucrative clients. Under the standard, these benefits would be considered referral fees that must be disclosed. The facts do not indicate that Kiang makes any disclosure to potential clients. The fact that some prospects, upon becoming clients, become aware that he pays for referrals when they receive discounted fees is insufficient disclosure. It would be acceptable if Kiang were to host a party or give gift cards to all his clients to reward their loyalty, regardless of whether they provided referrals.

A is incorrect. The party, gift cards, and discounted advisory fees are more than a reward for client loyalty and would be considered referral fees that are provided only to existing clients for recommending Kiang's services.

B is incorrect. Arguably, Kiang treats his clients fairly because he offers all of his clients the opportunity to receive these benefits and fee discounts as long as they refer others to his business, and whether the clients access these benefits by making referrals is up to them. However regardless of whether Kiang is treating all clients fairly, he is violating Standard VI(C) by not disclosing the benefits and compensation he awards for referrals.

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